

VSEUS

Economics Gazette

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Date: February 6, Friday

Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

[This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.](#)

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Macro Overview:

The energy situation in Cuba has reached a critical breaking point this week, as the island's power grid has suffered repeated partial collapses following the loss of Venezuelan oil and the looming threat of U.S. secondary tariffs on other suppliers like Mexico. Additionally, the last remaining nuclear agreement between the U.S. and Russia expired yesterday. The world's two largest nuclear arsenals unregulated for the first time in over 50 years.

Market Performance:

	Current weekly performance	Past week performance
S&P 500	-0.52 %	-0.3 %
TSX	+0.47 %	-3.66 %
	Ending Yield this week	Past weekly Ending Yield
U.S. 10 Year Treasury Yield	4.218%	4.269%



by Sebastian Contreras
Research Analyst

Is MSFT a buy?

Overview:

Microsoft has recently been questioned by investors as Copilot struggles to compete with other prominent models like Gemini and ChatGPT. Currently, Microsoft is heavily dependent on OpenAI's performance, as it is entitled to 20% of the company's income until OpenAI develops General Artificial Intelligence (AI that surpasses human intelligence). So far, Microsoft hasn't produced a top-tier in-house model, and its **Copilot agent still lacks seamless integration into its 365 corporate services.**

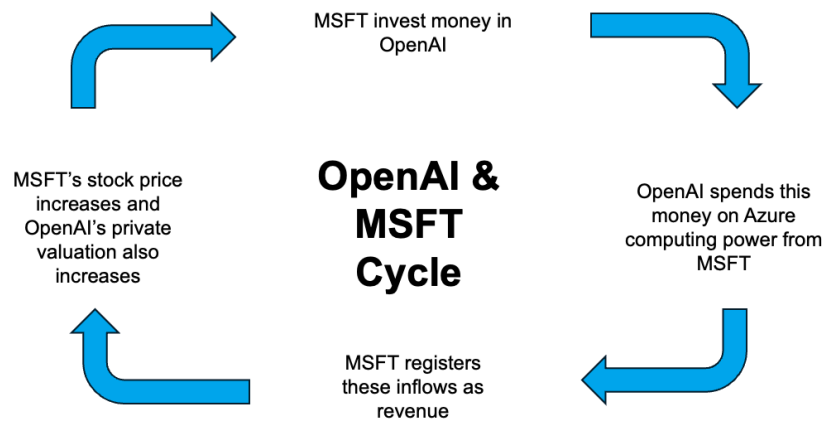
Microsoft belongs to the "Magnificent 7," the group of tech giants outperforming the market. However, NVIDIA is a massive outlier with a ~750% return since February 2023, so **I will limit Microsoft's comparison to the other five companies in the group.**

The median performance of these six companies over the last three years is a 31% annualized return. When looking at performance relative to that mean, **Microsoft is the one most closely aligned with this metric.**

Capital IQ estimates that Microsoft's EPS will double by 2030, reaching \$31.84. Even if Microsoft maintains a 25x P/E ratio (which is conservative compared to other tech peers), the share price could reach roughly \$750-\$800. **Microsoft remains a reliable company that you can hold with confidence, even during a market downturn.**

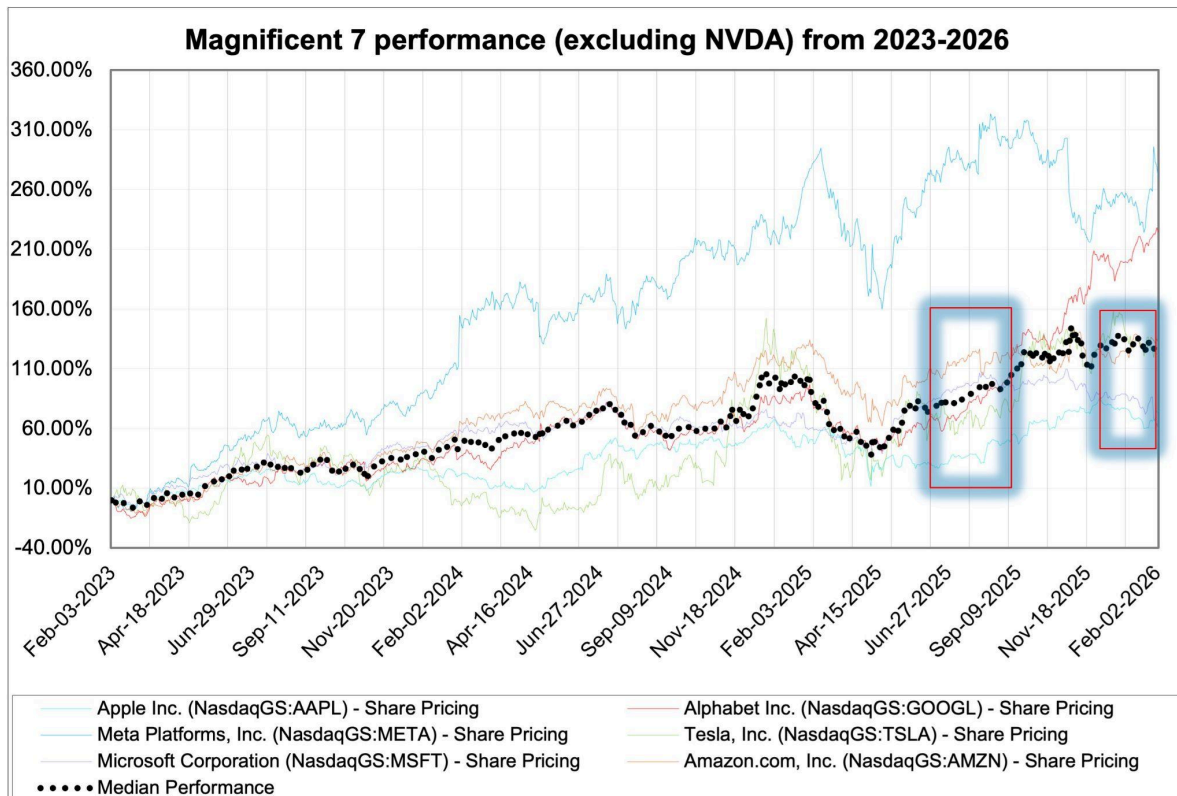
Risk:

- **Microsoft has significant exposure to OpenAI**, as a large portion of its cloud revenue is driven by them. Any negative shocks to OpenAI could reduce Microsoft's cloud revenue, which currently accounts for 63% of its total income. While Microsoft is attempting to diversify its AI bets between OpenAI and its in-house Copilot, these big AI investments have raised alarms as investors question their profitability and the possibility of a "circular economy".



VSEUS, internal creation, 2026.

Microsoft's investment in OpenAI gives them a big 'paper profit' whenever OpenAI's value goes up. **While some worry that Microsoft is just funding its own biggest customer**, the truth is that there is massive demand for Microsoft's computing power from many other companies. Even without OpenAI, Microsoft has a huge waiting list of clients wanting to use their services.



VSEUS, internal creation, 2026. Source: Capital IQ

We see from the graph that **Microsoft (MSFT) is currently underperforming its median peer**. This is a significant point for our thesis, as **real returns are often made by buying quality companies at a discount**. Currently, Microsoft is trading at such a "discount" because investors are nervous about its perceived lack of leadership in the AI race.

A very similar situation played out with Google (GOOGL) just a year ago. At that time, investors feared that AI bots would completely displace Google Search. Since then, Google has not only grown its advertising revenue but has also successfully launched Gemini, which has rapidly gained market share.

Can we expect MSFT to come back in a few years?

I would argue that yes, Microsoft is a free cash flow machine with all of the resources available to invest for its future. It will probably take some time and some learning from past mistakes, but building software/intelligence is something that MSFT have been able to deliver since day one.